THE TRADING FOUNDRY

TRADING FOUNDRY UNIVERSITY · PLAYBOOK 4 OF 15 · BEGINNER

Moving Average Systems

Using moving averages for trend filtering, crossover signals and dynamic support and resistance, from the classic 50/200 golden cross to EMA pullback methods.



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Educational content only — not financial advice. Capital at risk.

Watch the Film, Then Read the Book

This playbook goes deeper than the video can. Watch the companion film first for the method in motion, then work through the chapters at your own pace. Scan a code with your phone camera.

COMPANION FILM

The MACD Is Not What You Were Told

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Moving Average Systems

The Complete Course

Trading Foundry University — Playbook 4 of 15

First Edition — 2026

> *This book is educational content only and is not financial advice, investment advice or a personal recommendation of any kind. Every chart, price level and worked example in these pages is an illustration of a technique, not a signal to buy or sell anything. Trading foreign exchange carries a substantial risk of loss and is not suitable for everyone; you can lose more than you put in. Nothing here promises, implies or projects any profit. Do your own testing, know your own limits, and never trade money you cannot afford to lose.*

How to Use This Book

Moving averages are the most used and most misused tool in retail trading. They come pre-installed on every platform, they appear in every "top five indicators" article ever written, and most people bolt them onto a chart without ever asking what the line actually measures. That is the gap this course fills.

Here is our honest pitch. A moving average will not predict anything. It is a lagging summary of what price has already done, and any system built on it will lose money in sideways markets — every single one, without exception. The value of moving averages is not prediction. It is discipline: they give you a mechanical, unarguable definition of trend, a repeatable place to look for entries, and a filter that keeps you out of half the daft trades you would otherwise take. That is worth far more than a crystal ball, because it actually exists.

Read the chapters in order. The first two build the machinery — what an average measures and why the SMA and EMA behave differently. Chapters three to five cover the three classic uses: crossovers, dynamic support and resistance, and the EMA pullback method. Chapters six and seven show how averages work as a filter for other strategies and across timeframes, which is where they quietly earn their keep. Chapter eight is the one most books bury or skip: where these systems fall apart, in detail, with no soft-soaping. Chapter nine shows you how to test your own rules so you are relying on evidence rather than our word.

Work with a chart open. Every worked example uses illustrative numbers — invented prices, invented dates — chosen to make the mechanics clear, not to recreate any real trade. When we say "suppose EUR/USD is at 1.0850," we mean suppose. Pull up your own platform, find your own examples, and check whether what we describe actually shows up on real charts. It will, and also sometimes it won't, and noticing the difference is the entire education.

One sitting per chapter. Take the quiz at the end without peeking. Then go and backtest, because Chapter 9 is the only chapter that makes the other eight true for you.

Chapter 1 — What a Moving Average Actually Measures

Ask ten traders what a moving average is and nine will say "a line that shows the trend." True-ish, but vague, and vagueness is where accounts go to die. Let's be precise, because everything else in this course rests on it.

The arithmetic, in one minute

A simple moving average is the mean of the last N closing prices, recalculated every time a new candle closes. A 20-period SMA on the daily chart adds up the last 20 daily closes and divides by 20. Tomorrow, the oldest close drops out, the newest drops in, and the line takes its next step. That's it. There is no model inside, no forecast, no intelligence. It is a rolling arithmetic mean, the same maths you used to average your GCSE mock results.

Which means a moving average measures exactly one thing: the average price the market has accepted over the last N periods. When price sits above its 20-day SMA, buyers over the past month have, on balance, paid more than the recent norm and kept doing so. When price sits below it, the opposite. The line is a consensus tracker — a slow-moving record of where the crowd's centre of gravity has been.

Lag is not a bug

Because the average contains old data, it always arrives late. If price spikes today, the 20 SMA moves only one-twentieth of the way toward that spike. Turn a trend and the average keeps pointing the old way for days, like an oil tanker after the wheel's been spun. New traders treat this lag as a flaw to be engineered away with cleverer formulas. Experienced traders know it is the entire point.

Lag is smoothing, and smoothing is the service you are buying. Raw price is noisy: a currency pair might print fifteen up-candles and twelve down-candles in a month that was, in truth, a steady uptrend. Your eye — and worse, your amygdala — reacts to every one of those wiggles. The average does not. It compresses twenty candles of shouting into one calm line, and in doing so answers the only question it can honestly answer: on balance, over this window, which way has the market been leaning?

Here is the psychological trade hiding inside the maths. Fast information feels valuable and is mostly noise. Slow information feels boring and is mostly signal. A moving average forces you to consume the boring version, which is precisely why it helps. You are not paying for prediction; you are paying to have your twitchiness averaged out.



Figure. An uptrend with a 20-period and 50-period moving average. Price whipsaws candle to candle, but both averages slope steadily upward — the smoothed consensus cuts through the noise while lagging behind every individual swing.

Period, timeframe, and what the popular settings mean

The period N sets the memory of the line. A 10-period average remembers two trading weeks on a daily chart; a 200-period average remembers roughly a trading year. Shorter memory means the line hugs price, responds fast, and flip-flops constantly. Longer memory means the line floats serenely away from price, responds slowly, and flips rarely. There is no "best" setting, only a trade-off you must consciously choose: responsiveness versus reliability. You can have more of one only by giving up some of the other. Anyone selling you a magic period that dodges this trade-off is selling you a haircut for a bald man.

The popular settings — 20, 50, 100, 200 — are popular for reasons that are part-calendar, part-folklore. Twenty periods is about a trading month, 50 about a quarter, 200 about a year, so they map loosely onto how funds review performance. And because millions of traders watch the same lines, price sometimes reacts near them simply because everyone expects it to — a mild self-fulfilling prophecy. Mild. The 200-day average is not a force field; it is a line a lot of people happen to be staring at. Treat the crowd's attention as a tailwind for your analysis, never as the analysis itself.

One more piece of precision that will matter later: the period is counted in bars, not hours, so a 50 SMA means something completely different on the 5-minute chart (about four hours of memory) than on the daily (about ten weeks). When traders say "price respected the 50," the first question is always: the 50 on what timeframe? If they can't answer, stop listening.

What the average cannot tell you

It cannot tell you where price will go. It cannot tell you where the trend will end — it will confirm the end long after the fact. It cannot tell you whether the next touch will hold or break. And in a sideways market it tells you nothing at all while looking like it's telling you plenty, which is the most expensive kind of nothing there is; price will criss-cross a flat average a dozen times, each cross as meaningless as the last. We will spend all of Chapter 8 on that failure mode because it is where most MA traders donate their accounts.

For now, hold on to the honest definition. A moving average is a lagging consensus of recent accepted prices, with a memory length you choose. Everything this course builds — crossovers, dynamic support, pullback entries, trend filters — is just different ways of asking that consensus line one question: which side of normal are we on, and for how long has that been true?

CHAPTER 1 IN ONE SENTENCE:

A moving average is a deliberately lagging average of recent closes that measures the market's consensus direction — it smooths noise into signal at the cost of arriving late, and that trade-off is the feature, not the flaw.

Chapter 2 — SMA vs EMA: Choosing the Right Tool

Open any platform's indicator menu and you will find a small family of moving averages: simple, exponential, weighted, smoothed, Hull, and other exotica. This chapter is about the only choice that matters day to day — simple versus exponential — and about ending the tediously overcooked debate between them.

How the EMA differs, and by how much

The simple moving average treats every close in its window identically: in a 20 SMA, the close from four weeks ago carries exactly the same weight as yesterday's. The exponential moving average disagrees. It weights recent closes more heavily, with each older close counting exponentially less. The practical mechanics: today's EMA equals yesterday's EMA plus a fraction of the gap between today's close and yesterday's EMA. For a 20 EMA that fraction is about 9.5 percent — each new close drags the line roughly a tenth of the way toward itself.

The consequence is simple to state. Same period, same chart: the EMA turns earlier and hugs price more tightly; the SMA turns later and floats more smoothly. When a trend reverses, the 20 EMA will curl over a few bars before the 20 SMA does. When the market chops sideways, the 20 EMA will also wobble and flip a few more times than the 20 SMA does. Earlier signals, and more false ones. It is the same responsiveness-versus-reliability trade-off from Chapter 1, now expressed as a weighting choice instead of a period choice.

An SMA quirk worth knowing: because every bar in the window carries equal weight, a big candle falling out of the back of the window can bend the average even when today's price does nothing — the line moves because of what happened 20 bars ago. The EMA never does this; old data fades out gradually rather than dropping off a cliff. If you have ever watched an SMA kink for no visible reason, that was the reason.

The honest verdict: it matters less than you think

Here is where we save you about a hundred hours of forum reading. For most purposes, the difference between a 20 SMA and a 20 EMA is smaller than the difference between a 20 and a 50 of either type. Period dwarfs formula. Traders who spend weeks agonising over SMA versus EMA while ignoring position sizing have confused fiddling with working — it feels like research, and it photographs well in a trading journal, but it is procrastination wearing a lab coat.

That said, the conventions have a logic, and we'd follow them. Use EMAs for shorter, tactical work — pullback entries, intraday trend-reading, anything where a few bars of responsiveness genuinely changes your entry. The EMA pullback method in Chapter 5 uses EMAs for exactly this reason. Use SMAs for the big structural reads — the 200-day, the 50/200 crossover — partly because the extra smoothness suits a slow question, and mostly because the 200-day SMA is the line the whole market watches. If part of a level's power is the crowd staring at it, you want to stare at the crowd's line, not your own artisanal variant.

Whatever you choose, choose once and stop. A trader who flips between SMA and EMA depending on which one currently "looks right" has quietly granted themselves an extra degree of freedom, and extra degrees of freedom are how people convince themselves a losing method is winning. The psychology here is worth naming: switching formulas mid-slump feels like improvement and functions as avoidance. Fix the tool, then judge the results.

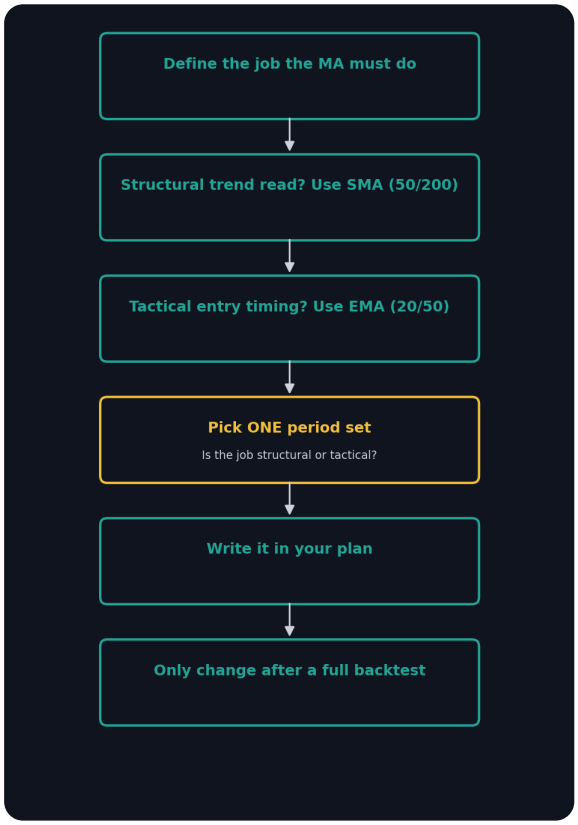


Figure. A decision path for choosing your moving average. The formula follows the job — slow structural questions get the SMA, fast tactical ones get the EMA — and once chosen, the setting is locked until a proper backtest says otherwise.

A worked comparison — illustration only

Suppose — purely as an illustration of mechanics, not a signal — GBP/USD has been climbing on the four-hour chart and both a 20 SMA and 20 EMA sit under price. News hits and the pair drops sharply for three candles: illustrative closes of 1.2760, 1.2715, 1.2680 against a recent average near 1.2800. The EMA, dragging roughly a tenth of each gap, bends downward almost immediately and is visibly rolling over by the third candle. The SMA,

replacing only one old close per bar, is still rising — the strong closes from two weeks ago are still in its window, still voting.

Now imagine two endings. In ending one, the drop was the start of a real reversal: the EMA trader gets an earlier warning, tightens risk sooner, looks clever. In ending two, the drop was a three-candle shakeout and the pair resumes upward: the EMA trader got bounced into caution by noise while the SMA trader never blinked, and now the SMA looks clever. Both endings happen, routinely, and you cannot know in advance which script you are in. That is the whole choice: the EMA sells you earlier warnings and charges you in false alarms. Decide which cost annoys you less, price that decision into your testing, and move on.

Settings that earn their place

A starting toolkit, to be tested rather than trusted: a 20 EMA and 50 EMA for tactical trend and pullback work on your trading timeframe, and a 200 SMA for the structural backdrop. Three lines. If your chart has more moving averages than that, ask what job each one is doing; a line without a job is decoration, and decoration on a trading chart is expensive. Resist the rainbow-ribbon templates with eight averages in sunset colours. They look terrific in screenshots and answer no question you actually need answered.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> The EMA weights recent prices and reacts faster at the cost of more false moves, the SMA smooths harder and lags longer — but the period matters more than the formula, so pick tools to match the job, fix your settings, and spend your energy on testing instead of tinkering.

Chapter 3 — The Golden Cross and Death Cross Explained

No moving average signal gets more press than the golden cross. When the 50-day average crosses above the 200-day, financial media reaches for the trumpet; when the 50 drops below the 200, the same outlets print the words "death cross" with barely disguised glee. This chapter explains what these crossovers actually tell you, why they lag as badly as they do, and how to use them without becoming the punchline.

What a crossover event actually is

Strip away the branding. A golden cross simply means the average price of the last 50 days has risen above the average price of the last 200 days: the recent consensus is now higher than the long-term consensus. For that to happen mathematically, price must have already been rising for a good while — weeks, usually months. The cross is not a prediction of a trend; it is a certificate confirming a trend that is already well underway. The death cross is the same certificate with the sign flipped: recent consensus has sunk below long-term consensus, after a decline that has already done real damage.

This is why crossover signals feel so late, because they are. By construction, a 50/200 cross cannot occur near a turning point. If you buy every golden cross expecting to catch the bottom, you will be structurally disappointed for the rest of your career. The honest use is different: the cross tells you which regime you are in. Above-and-crossed-up, the market has formally entered a state where trend-following long ideas deserve the benefit of the doubt. Crossed-down, the benefit of the doubt reverses. It is a weather report, not a starting pistol.



Figure. A golden cross: the 50-period average crossing above the 200 after price has already trended up for some time. Note how much of the move precedes the cross — the signal confirms a regime change, it does not catch the turn.

A worked illustration of the lag

Numbers make the lag visceral, so here is an invented sequence, offered purely as an illustration. Suppose a pair bottoms at 1.0500 in January after a long decline, then grinds upward: 1.0650 by February, 1.0800 by April. The 50-day average, remembering only the recent recovery, curls up quickly. The 200-day, still stuffed with closes from the down year, keeps falling for weeks after the low, then flattens, then finally rises. The two lines might not cross until May, with price near 1.0850. From the low, that is roughly 350 pips of trend — spent before the "buy regime" certificate arrives.

Is that terrible? It depends what you wanted. If you wanted the bottom, yes, dreadful, you missed a third of a big move. If you wanted confirmation that a bruising downtrend had genuinely ended before committing to trend-long ideas, the cross did exactly its job — and it would have kept you out of every false dawn along the way, because two-week bounces don't move a 200-day average. Slow signals are insurance against fast lies. You pay the premium in missed early pips.



Figure. A death cross: the 50 slipping below the 200 well after the downtrend began. The same lag applies in reverse — the cross arrives once the decline is established, which makes it a regime label rather than an early exit.

The whipsaw problem, and where crosses behave worst

The deeper flaw is not lag but indecision. When a market spends months trading sideways, the 50 and 200 converge, flatten, and start crossing repeatedly — golden cross, death cross, golden cross again, sometimes three round-trips in a year, each one worth a small loss and a large helping of frustration. On daily FX charts this is common, because currency pairs spend a great deal of their lives in broad ranges; a pair can oscillate in a 400-pip band for a year, minting crossover signals the entire time, every one of them false. There is no filter that fully removes this. You can demand the 200 itself be sloping in the cross's direction, or require price to hold beyond the cross for several bars — sensible refinements, worth testing — but the honest position is that crossovers earn their keep in trending years and give some of it back in ranging ones. Whether the net is positive for the pairs and rules you trade is an empirical question, which is Chapter 9's department, not a matter of faith.

How grown-ups use the cross

Three practices separate serious use from headline-chasing. First, treat the cross as a filter, not an entry — a switch that determines which direction's setups you are allowed to consider, while entries come from something more precise, like Chapter 5's pullback method. Second, respect the timeframe: the folklore around the 50/200 was built on daily charts, and a "golden cross" on a 5-minute chart is just two short averages crossing, an event that happens several times a week and deserves none of the reverence. Third, watch your own psychology when the media does its trumpeting. The death cross in particular is a

masterpiece of branding — it sounds like a prophecy and is actually a description of the recent past. If a headline about a cross makes you feel urgency, that feeling is the product being sold to you. The chart contains no urgency; the cross happened after the move, as it always does. Note the regime, adjust which ideas you'll entertain, and let the certificate be a certificate.

CHAPTER 3 IN ONE SENTENCE:

Golden and death crosses are lagging certificates that a trend is already established — priceless as regime filters, poor as entry triggers, and prone to expensive whipsaws whenever the market goes sideways.

Chapter 4 — Moving Averages as Dynamic Support & Resistance

Horizontal support and resistance you know: a price level where the market turned before and might turn again. Moving averages offer a moving version of the same idea — a line that travels with the trend and repeatedly serves as the place where pullbacks end. When it works, it is one of the prettiest phenomena in charting. This chapter is about why it works, when it works, and how not to be fooled by the many times it doesn't.

Why price "respects" a moving line

Be sceptical of mysticism here. A moving average is arithmetic; price does not bounce off it because the line has powers. Three mundane forces do the work. First, a rising average tracks the trend's average cost — in a steady uptrend, a pullback to the 20 EMA simply means price has returned to roughly what recent buyers paid, which is naturally where value-minded buyers re-engage. Second, crowd attention: enormous numbers of traders watch the 20 and 50 EMAs and the 200 SMA, place orders near them, and thereby help cause the bounce they expect. Third — and this one stings — selection bias. Charts where price bounced off an average get screenshotted and shared; charts where price sliced through get scrolled past. Your mental library of "the 50 always holds" is a highlights reel someone else edited.

The honest summary: in an established trend, popular averages mark zones where pullbacks often pause, because that is where value and attention coincide. In a weak trend or a range, the same lines are just lines, and price treats them accordingly.

Zones, not laser lines

The single biggest practical upgrade is to stop treating the average as a precise level. Price does not owe the 20 EMA a touch to the exact pip. In a real trend, pullbacks end scruffily — a wick a few pips short of the line, a close a few pips through it, a messy day straddling it. Traders who demand an exact touch miss half the bounces; traders who panic at a small penetration get shaken out of the other half. Treat the area around the average — and better, the corridor between two averages such as the 20 and 50 EMA — as a zone where you go on alert and start looking for evidence, not a tripwire that fires by itself.

What counts as evidence? The same price action you would want at a horizontal level: a rejection wick, a bullish engulfing candle, a failed push lower that snaps back — some visible sign that buyers actually showed up where the theory said they might. The average proposes; the candles dispose.



Figure. An uptrend where pullbacks repeatedly find support in the zone between the 20 and 50 moving averages before the trend resumes. The averages define a moving area of interest, not an exact line — entries still need confirmation from price itself.

A worked illustration

An invented example to make it concrete — an illustration of technique, not a recommendation. Suppose USD/JPY has trended upward on the four-hour chart for three weeks, holding above a rising 20 EMA, with the 50 EMA below that and the 200 SMA far beneath both. Price pulls back from an illustrative 151.80 toward the 20 EMA at, say, 151.10. A trader using the average as dynamic support does not buy at 151.10 because the line is there. They watch. Price dips to 150.95 — through the line, note — then prints a strong rejection candle closing back at 151.25. Now three facts align: an established uptrend, a pullback into the moving value zone, and a visible buyer response. That confluence is the setup; the average alone never was. And the stop, if this were a real plan, would live below the reaction low and the 50 EMA — outside the zone — because a zone you believe in is a zone you give room to.

When the magic stops

Every trend ends, and dynamic support gives you a characteristic warning when it does: the bounces degrade. Early in a healthy trend, touches of the 20 EMA produce sharp, eager rallies. Late in the trend, price starts spending more time below the 20, bounces become limp, the 50 gets tested more often, and eventually a pullback doesn't bounce at all — it closes hard through the 50 and keeps going. No single close through an average proves anything; averages get pierced constantly in perfectly good trends. But a change in the pattern of respect is real information. Think of it as watching a regular at your local: one

missed Friday means nothing, but when he stops coming altogether, something has changed at home.

The failure mode to fear most, as ever, is the range. When the trend flattens, the averages flatten into the middle of the congestion, and "dynamic support" becomes a line price chops through six times a week. The rule that protects you is blunt: moving averages act as support and resistance only while a trend exists, and the slope of the average is your first check. Flat average, no edge, no trade — full stop. Prerequisites first, bounces second.

CHAPTER 4 IN ONE SENTENCE:

In an established trend, popular moving averages mark moving zones of value and attention where pullbacks often end — trade them as zones with price-action confirmation and a sloped average, never as magic lines, and expect the effect to vanish entirely in ranges.

Chapter 5 — The EMA Pullback Method

Everything so far has been reading. This chapter is the course's core playbook: a complete, rule-based framework for entering an existing trend at a sensible price. It is deliberately simple, it is nothing you couldn't have assembled yourself from Chapters 1–4, and that is precisely why it's teachable, testable and honest. As always: this is a framework to study and backtest, not a machine that prints money, and nothing here is a signal.

The logic and the rules

The idea in one line: trends breathe. Price extends, retraces toward its moving value zone, then — if the trend is healthy — extends again. Chasing the extension buys you the worst price of the cycle and maximum psychological pain when the inevitable retrace comes. The pullback method waits for the breath in, then asks for proof the breath out has started.

The framework, using a 20 EMA and 50 EMA on your chosen trading timeframe:

1. **Qualify the trend.** Price above both EMAs, 20 above 50, both visibly sloping upward, and recent structure printing higher highs and higher lows. (Mirror everything for downtrends.) If you have to squint, it doesn't qualify — the rule exists to be failed.
2. **Wait for the pullback.** Price retraces into the zone between the 20 and 50 EMA. Not toward it — into it. A shallow dip that never reaches the 20 is the trend not offering you anything; let it go.
3. **Demand a trigger.** Inside the zone, wait for a clear bullish price-action signal on a closed candle: a rejection wick, an engulfing candle, a strong close reclaiming the 20 EMA. No trigger, no trade, no matter how good the zone looks.
4. **Structure the trade.** Stop beyond the pullback's extreme and beyond the 50 EMA — outside the zone you claimed to believe in. Target at a prior high or a fixed multiple of risk; take nothing below roughly 1.5R, because pullback entries lose often enough that thin rewards won't carry the losers.
5. **One veto.** If the pullback closes decisively beyond the 50 EMA, the setup is void. Not "worse" — void. Stand down and wait for the trend to re-qualify from step 1.

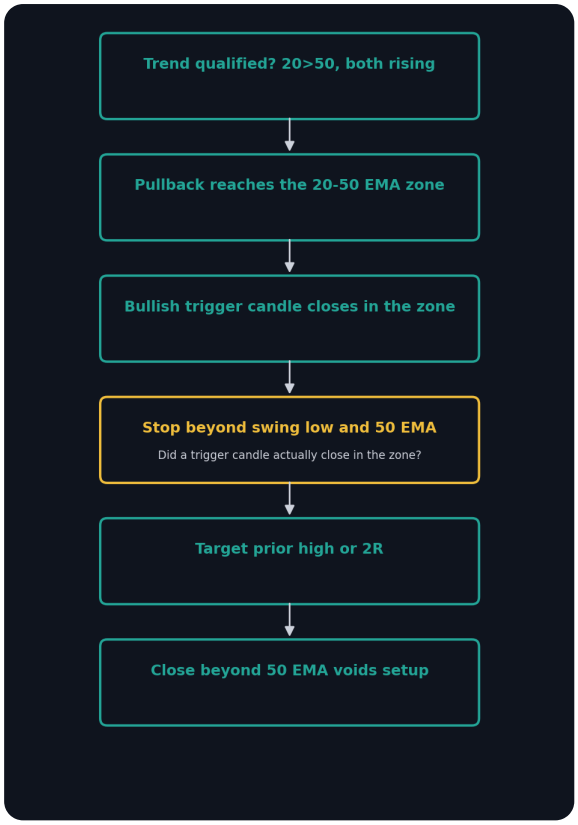


Figure. The EMA pullback method as a checklist. Every step is a gate that can fail; most days it should fail, because the method's edge — if you confirm one in testing — comes from the trades it refuses as much as the ones it takes.

A worked example, step by step

An invented illustration. Suppose EUR/USD on the one-hour chart has rallied from 1.0700 to 1.0810 over four days. The 20 EMA sits near 1.0785, the 50 EMA near 1.0765, both rising; structure shows two clean higher lows. Step 1 passes. Price then drifts down over seven candles to 1.0778 — inside the zone. Step 2 passes. A trader now does the hardest thing in trading: nothing. Two candles later, a bullish engulfing candle closes at 1.0792, wick down to 1.0771. Step 3 passes. The trade structure, were this a real plan: entry around 1.0792, stop below 1.0771 and the 50 EMA — call it 1.0760, thirty-two pips of risk — and a target at the prior high of 1.0810 or, more ambitiously, 1.0856 for 2R. Notice what the method never required: no prediction, no opinion about the ECB, no certainty. Just a sequence of checkable conditions, each one visible on a closed candle. Notice too the geometry: thirty-two pips of risk against sixty-four of reward means the method can be wrong half the time and still be worth testing — which is the only kind of arithmetic a fallible human should build on.

Why this is hard (it shouldn't be, but it is)

On paper the method is a checklist a bright twelve-year-old could follow. In practice, three feelings sabotage it. First, pullbacks feel like danger: the candles are red, momentum is against you, and every headline explains why the trend is over — buying the zone means acting when the chart looks worst, which is exactly why the price is decent. Second, waiting

for the trigger candle feels like fussiness when price is sitting right on the zone; skipping step 3 "just this once" is the most common way this method dies, because the trigger is your only evidence that the pullback is ending rather than accelerating. Third, the veto stings: watching a voided setup recover without you feels like robbery. It isn't. The veto will also keep you out of genuine breakdowns, and you cannot collect that saving without paying the occasional missed-trade tax. Follow the checklist mechanically for a hundred paper trades before you form any opinion about it — your opinion after five live trades is just your mood in a costume, and moods are terrible statisticians.

Tuning without torturing

The 20/50 pair is a starting point, not scripture. Faster markets or lower timeframes might suit 8/21; slower approaches, 50/100. Tune in your backtest, then freeze. What you must not do is re-tune after every losing week, sliding the settings around until the recent past looks profitable. That habit has a name — curve-fitting — and a destiny, which is a system that perfectly predicts last month and nothing else. One pair of settings, one market, one timeframe, one written checklist. Boring is the point; boring is the edge you can actually execute.

CHAPTER 5 IN ONE SENTENCE:

The EMA pullback method waits for a qualified trend to retrace into the 20/50 EMA zone, demands a closed confirmation candle before entry, structures every trade with a stop beyond the zone and at least 1.5R of reward — and works only for traders disciplined enough to let most days offer nothing.

Chapter 6 — Using MAs as a Trend Filter for Other Strategies

Here is an unglamorous truth: the most valuable use of a moving average is often not generating trades but forbidding them. A filter never gets the screenshot glory — nobody frames the trade they didn't take — but for many strategies the filter is worth more than the entry signal. This chapter shows how to bolt a moving-average filter onto whatever you already trade, and how to check whether it's actually helping.

The filter concept

A trend filter is a standing rule that sorts the market into states and only permits certain trades in certain states. The classic implementation is a single long average on your trading timeframe or one above it: price above a rising 200 SMA, you may only take long setups; price below a falling 200 SMA, only shorts; price tangled around a flat 200, reduced size or nothing at all. Your entry strategy — candlestick patterns, breakouts, support and resistance bounces, whatever Course 2 or 3 taught you — stays exactly as it was. The filter simply throws away the half of its signals that fight the prevailing tide.

Why does discarding signals help? Because most entry techniques are direction-agnostic pattern detectors. A bullish engulfing candle prints just as readily in a downtrend as an uptrend; the pattern can't tell the difference, but the outcomes usually can. Counter-trend signals are fighting the market's momentum, its order flow and everybody's bias at once. Cutting them doesn't make your entries smarter — it changes the water they swim in. Strong swimmer, wrong river, still drowns.

What a good filter changes — and what it costs

Test a decent filter honestly and a characteristic shape tends to emerge: fewer trades, a similar or better win rate on the survivors, and — the part people underrate — a smoother equity curve, because the ugliest losing streaks in most systems come from repeatedly fighting a strong trend, and those are exactly the trades the filter deletes. Fewer catastrophic clusters means smaller drawdowns, and smaller drawdowns mean a trader who is still emotionally solvent enough to execute the next trade properly. Half of what a filter buys you is statistical; the other half is you, undamaged.

The cost is real too, so let's not launder it. A filter will sometimes veto a beautiful counter-trend trade that would have paid handsomely — the exact bottom, the exact top, the trades that make legends of other people. You will watch some of those leave without you, and it will sting every time. The filter's wager is that across hundreds of trades, the vetoed group loses more than it wins, so forfeiting its occasional stars is a price worth paying. Whether

that wager holds for your strategy is not a matter of doctrine; it is a measurement, and Chapter 9 shows you how to take it. Run your setups with and without the filter over the same historical window and let the two records argue it out.

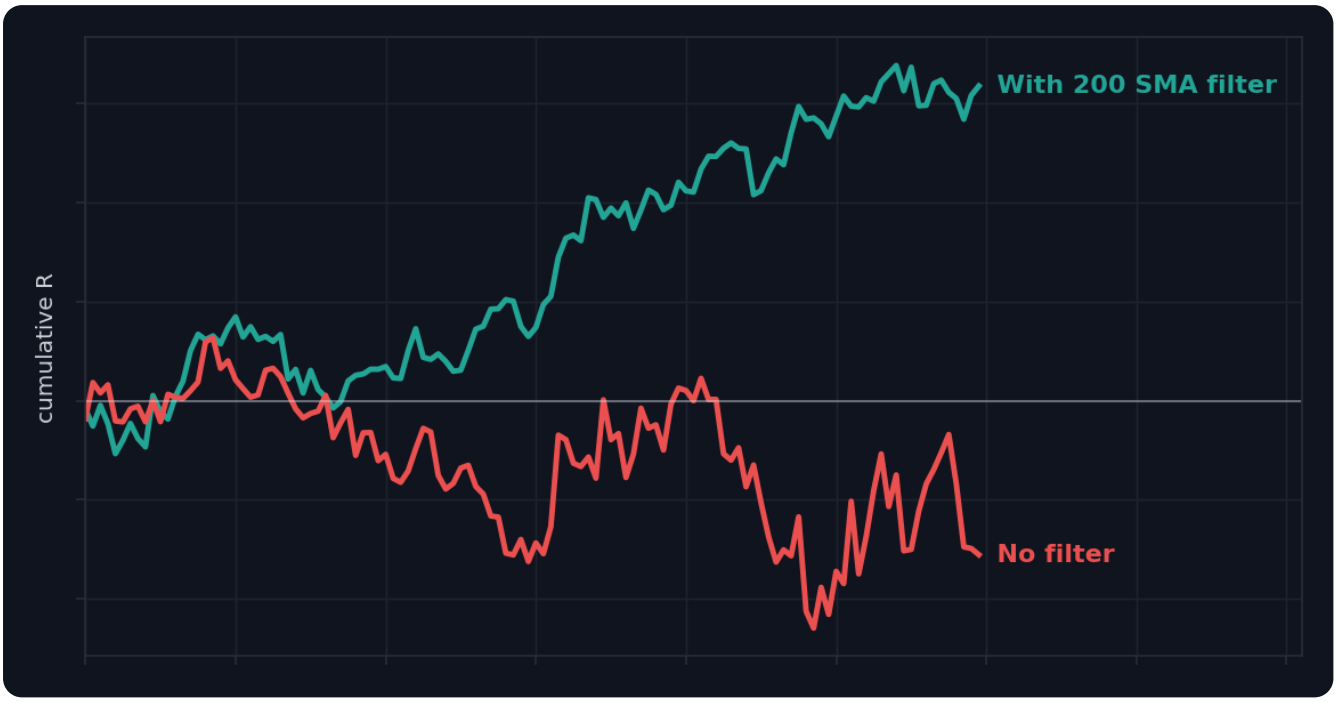


Figure. Illustrative equity curves for the same entry strategy tested with and without a long-term moving average filter. The filtered version trades less and typically rides out shallower drawdowns — the filter's job is not more winners but fewer disasters. Hypothetical illustration, not a performance record.

Worked illustration: one filter, two verdicts

Invented numbers, purely to show the accounting. Suppose a trader's backtest of a candlestick-reversal strategy on GBP/USD daily produces 200 trades over several years: 110 in the direction of the 200 SMA's slope, 90 against it. Suppose the with-trend group averages +0.4R per trade and the counter-trend group averages −0.2R. The unfiltered system nets 44R minus 18R: +26R. The filtered system takes only the with-trend group: +44R, from fewer trades, with the counter-trend losing streaks surgically removed. In this illustration the filter is an unambiguous upgrade.

Now flip one assumption: suppose the counter-trend group had averaged +0.1R — mildly profitable, as genuine reversal strategies sometimes are. The filter would now be deleting 9R of profit. Point made, hopefully: the filter is a hypothesis, and the same filter can help one strategy and lobotomise another. Reversal strategies in particular exist to trade against trends; strapping a trend filter to one is like hiring a goalkeeper and telling him to stay out of the box.

Practical filter designs worth testing

A menu, from blunt to refined, each a testable variation rather than a recommendation. The simple position filter: trade only in the direction of price relative to the 200 SMA. The slope

filter: require the average itself to be rising or falling, which does a better job of exiling you during flat, tangled markets where "above the 200" is just noise about nothing. The two-average filter: 50 above 200 for longs, below for shorts — effectively using Chapter 3's crossover state as a standing regime label, which is exactly the grown-up use we promised it had. And the higher-timeframe filter — take entries on the one-hour only in the direction of the four-hour's 50 EMA slope — which is powerful enough that it gets the whole of Chapter 7 to itself.

Two warnings before you sprint off to test. Don't stack filters until nothing trades; each one costs opportunity, and three trend filters usually agree with each other anyway — you're paying three tolls for one road. And pick the filter's timeframe deliberately: a 200 SMA on the five-minute chart describes about seventeen hours of trading, which is a regime in the way a weekend is an era.

CHAPTER 6 IN ONE SENTENCE:

A moving-average trend filter improves many strategies not by finding better trades but by forbidding the counter-trend ones that cause the deepest losing streaks — a hypothesis you verify by testing your own setups with and without it.

Chapter 7 — Multi-Timeframe Moving Average Alignment

Every trader has lived this one: the five-minute chart screams uptrend, you buy, and the market immediately rolls over — because the five-minute uptrend was three ripples inside a one-hour downtrend you never looked at. Multi-timeframe alignment is the systematic cure, and moving averages make it mechanical instead of impressionistic.

Nested trends and the alignment principle

Markets trend fractally. The daily chart can be in an uptrend while the four-hour corrects downward and the fifteen-minute rallies inside that correction — three honest answers to "what's the trend?", all simultaneously true. Alignment means demanding that the timeframes above your trading timeframe agree with your trade's direction before you take it, so you are swimming with the larger currents rather than betting the ripple against the tide.

The classic structure uses three timeframes with a rough one-to-four to one-to-six ratio between them — daily/four-hour/one-hour, or four-hour/one-hour/fifteen-minute. Each gets one job. The highest timeframe sets direction: you consult it, never trade from it. The middle is your trading timeframe, where setups form and the Chapter 5 checklist runs. The lowest is optional refinement for entry timing — and it is the one beginners should ignore first, because the lowest timeframe is where noise lives, and noise is very persuasive at close range.

Moving averages make each verdict mechanical. A workable definition set, to be tested rather than recited: on the higher timeframe, price above a rising 50 EMA means uptrend, below a falling one means downtrend, anything else means unclear. On the trading timeframe, the full Chapter 5 qualification — 20 above 50, both sloping, structure agreeing. When both agree, you have alignment and permission. When they disagree, you have a correction or a turn — and from inside the chart, before the fact, those two are genuinely indistinguishable, which is exactly why the rule says stand aside rather than guess.



Figure. The same market on three nested timeframes. The higher timeframe sets the permitted direction, the middle timeframe hosts the actual setup, and the lower timeframe merely fine-tunes entries — a hierarchy that stops five-minute noise from overruling the daily tide.

A worked illustration of alignment

Invented, as ever. Suppose the four-hour chart of AUD/USD shows price at an illustrative 0.6620, above a rising 50 EMA at 0.6570: higher-timeframe verdict, up. Drop to the one-hour. There, price has pulled back through a rising 20 EMA into the 20/50 zone around 0.6605 — a Chapter 5 setup forming, in the direction the four-hour permits. A trigger candle closes bullish in the zone. Every box ticks, and the trade idea has the tide behind it.

Now rewind and change one fact: the four-hour 50 EMA is falling and price sits below it. The identical one-hour setup — same zone, same handsome trigger candle — is now a rally inside a larger downtrend, statistically the sort of trade Chapter 6 taught you to delete. Same candles, opposite verdict. That is the entire lesson of this chapter compressed: context, not pattern, decides what a setup is worth. The pattern is the sentence; the higher timeframe is the paragraph it appears in, and "I didn't mean it like that" is not a defence your stop-loss will accept.

The honest costs of alignment

Alignment is a filter, and every filter charges rent. Cost one: patience bordering on tedium. Full three-timeframe agreement is uncommon; days or weeks can pass on a given pair without it, and a bored trader is a dangerous trader. The professional answer is a watchlist — follow six or eight pairs so that something, somewhere, is usually near alignment — rather than torturing one chart until it confesses to a setup that isn't there. Cost two: lateness. By the time daily, four-hour and one-hour all agree, the move is not new; you are structurally forbidden from catching turns, which — say it with us — is the price of every lag-based tool in this book. You give up the first act to be reasonably confident there's a play on at all. Cost three, the sneaky one: timeframe shopping. A trader who wants the trade will hunt through timeframes until one agrees with them — the four-hour says no, but look, the weekly sort of

says yes if you tilt your head. The defence is to write your three timeframes into your plan and treat consulting any other as what it is: not analysis, advocacy. You've stopped asking what the market is doing and started building a case for what you've already decided to do — and the market does not settle out of court.

Keeping it light

A caution against over-engineering, because this topic attracts it. Three timeframes, one average-based rule per timeframe, one setup method. That's the machine. Traders who monitor six timeframes with four averages each don't get six times the insight; they get a dashboard designed to always contain at least one reason to do whatever they already fancied doing. Alignment's power is that it sometimes says no and you can't argue with it. Preserve the no.

> **CHAPTER 7 IN ONE SENTENCE:**
>
> Multi-timeframe alignment uses simple moving-average rules to make the higher timeframe grant or refuse permission for setups on your trading timeframe — trading with the tide costs you patience and early entries, and pays you back in avoided counter-trend disasters.

Chapter 8 — Avoiding the Chop: Where MA Systems Struggle

We have hinted at it in every chapter; now we face it squarely. Moving average systems have one great enemy, it is not exotic, and it will find you: the sideways market. This chapter is the most important one in the book, precisely because it's the one the marketing material always leaves out.

What chop does to an average — mechanically

Markets trend perhaps a third of the time; estimates vary by market and method, but everyone who has counted agrees trends are the minority. The rest is ranging: price oscillating in a band while buyers and sellers argue to a stalemate. Consider what this does to the arithmetic. In a range, the moving average converges to the middle of the band — the average of an oscillation is its centre. So the one place price crosses most often is the exact place your trend tools are lying in wait. Every oscillation crosses the average twice. Fast and slow averages flatten, braid around each other, and cross repeatedly. Every crossing looks, locally, like the start of a trend. None of them are.

Now walk a trend-following ruleset through it. Price crosses above the 20 EMA — trend starting? It rolls over at the range top and crosses back — stopped out. Crosses below — downtrend? Bounces off the range floor — stopped out again. Each individual loss is small and defensible; the sequence is a slow bleed with a smile on its face, six or eight consecutive paper cuts that do more damage to your discipline than to your balance — although the balance does keep the receipts. And the range only reveals itself in hindsight: the second touch of the ceiling only becomes "the ceiling" after it holds, by which time you've already paid the entry fee twice.



Figure. A ranging market: price oscillating between a ceiling and a floor while trend tools flatline in the middle. Every cross of the average looks like a breakout from up close, and none of them follow through — this is the environment that quietly bleeds moving-average systems.

Reading the symptoms before the bill arrives

You cannot avoid chop entirely — nobody rings a bell when a range begins — but you can learn its face and shorten your stay. The tells, in rough order of usefulness. Slope: your averages have gone flat; a 50 EMA crawling sideways is the market telling you, in its own language, that there is no consensus to follow. Braiding: the 20 and 50 keep crossing and re-crossing, weaving around each other like drunks holding each other up — one cross is information, four crosses in a fortnight is a range. Structure: no higher highs and higher lows, just alternating touches of an increasingly obvious ceiling and floor. Failure count: your own recent results — two consecutive stop-outs from the same MA setup on the same pair is your system reporting, accurately, that its assumptions don't currently hold. The trader's ego hears "try harder"; the correct hearing is "conditions have changed."

And a word on why you'll ignore all four tells at least once: revenge. After two stop-outs the range owes you money, or so the feeling goes, and the third trade gets taken not because the chart improved but because the ego demands the account be made whole by the same market that dented it. The range does not know it owes you anything. Ranges are the house edge of trend-following; the only winning move is to stop putting coins in.

The three defences

Defence one: don't trade the system. Nothing obliges you to run an MA strategy through conditions it was never built for. A written "no-trade" rule — flat 50, braided averages, stand

aside on this pair — converts chop from a drawdown engine into a rest period. Flat is a position, and during a range it is very often the best-performing one available.

Defence two: demand trend qualification before every entry, which is why Chapter 5's step one exists and why it's strict. Most chop losses are not the system failing; they're the trader taking trades the system's own rules had already disqualified, because the trigger candle looked pretty and the qualification step felt like paperwork. The paperwork is the system.

Defence three: let the range pay you differently — or pay someone else. Ranges are tradeable with range tools: fading the extremes, which is Course 3's territory, not a moving average's. The mature version of this course's lesson is not "moving averages are good" but "moving averages are good at one regime," and the professional skill is matching tool to regime rather than forcing one tool through all weather. A carpenter who owns only a hammer doesn't blame the screws.

The uncomfortable arithmetic of acceptance

Here's the part to internalise before Chapter 9, because your backtest will shove it in your face anyway: even with all three defences working, a trend-following MA system loses during transitions. The range's beginning always looks like a pullback; the trend's end always looks like a dip to buy. Some whipsaw losses are not a flaw to engineer away but the fee the strategy pays for being positioned when real trends finally leave the station. Test after test, in market after market, trend-following systems show the same signature: frequent small losses, occasional large wins, and profitability that depends entirely on staying solvent — financially and emotionally — through the losing clusters. If you need to be right most of the time to feel okay, that isn't a character flaw, but it is a measurement, and it says this family of systems will hurt you regardless of what the equity curve eventually does. Better to learn that from a book than an account statement.

> **CHAPTER 8 IN ONE SENTENCE:**
>
> Sideways markets are the natural predator of every moving-average system — learn the tells of chop, write standing rules that take you out of the game when they appear, and accept that some whipsaw losses are the permanent fee for catching real trends.

Chapter 9 — Backtesting Your Moving Average Rules

Everything before this chapter is claims. Plausible claims, we'd argue, carefully hedged — but claims. This chapter is where you stop taking our word for it, and it is genuinely the point of the whole book: a trader who has personally tested a mediocre system will outperform a trader who merely believes in a brilliant one, because only one of them can hold their nerve on a bad Tuesday.

Write rules a stranger could follow

A backtest can only test what is written down, so the first job is converting your method into rules with no judgement left in them. The test of a written rule is brutal and simple: could a stranger — or a piece of software — apply it to a chart and reach the same decisions you would? "Enter on a pullback to the 20 EMA in an uptrend" fails that test three times in one sentence. What defines the uptrend? What counts as "to" the EMA? What triggers the entry?

Here is the Chapter 5 method written to standard, as an example of the format — testable spec, not signal: Market: EUR/USD, one-hour chart, 20 and 50 EMA. Trend qualification: 20 EMA above 50 EMA, both higher than 10 bars ago, most recent swing low higher than the prior swing low. Setup: a candle's low enters the zone between the EMAs. Trigger: a subsequent candle closes above the 20 EMA with a close in its top third. Entry: next candle's open. Stop: 2 pips below the setup's lowest low or the 50 EMA, whichever is lower. Exit: 2R target, or stop, whichever is hit first; a close below the 50 EMA before entry voids the setup. You may disagree with every parameter — good, that's what testing is for. What you may not do is leave them vague, because vague rules are how backtests flatter and live trading punishes: in hindsight, "an uptrend" is whatever produced the win.

Run the test like a clerk, not a fan

Manual backtesting is humble work: scroll the chart back a year or two, step forward candle by candle, and record every trade the rules generate. The discipline that makes it valid is refusing hindsight. Step one candle at a time and decide before you see what happens next — the entire value of the exercise dies the moment you scroll ahead "just to check." Log every qualifying trade in a spreadsheet: date, direction, entry, stop, exit, result in R (profit or loss divided by initial risk), and a note on conditions. In R, not pounds — R makes trades comparable and keeps the focus on process.

Sample size is where most home backtests quietly fail. Twenty trades tells you almost nothing; the difference between a decent system and a dud is well inside twenty trades'

worth of luck. A hundred trades is a bare minimum for a first opinion; more is better. If your rules only generate thirty trades in two years on one pair, widen the test window or test additional pairs separately — but keep the records separate, because "it works if I pool the three pairs where it worked" is not a finding, it's a crime scene.

Two further honesty taxes. Deduct costs: subtract a realistic spread from every trade, because a method that nets 0.1R per trade on paper is a donation to your broker once spreads breathe on it. And test regimes, not just years: deliberately include a period you know was choppy, because Chapter 8 promised you the system loses there and you need to see the size of the bill — the drawdown you refuse to measure is the one that retires you.



Figure. An illustrative distribution of trade outcomes in R from a trend-following backtest: many small losses clustered near -1R, a modest cluster of small wins, and a right tail of large winners that carries the whole system. If you can't stomach the left side of this picture, the right side will never arrive.

Reading the results — and the traps

With a hundred-plus logged trades, compute four numbers: win rate; average win and average loss in R; expectancy — (win rate × average win) − (loss rate × average loss) — which is your edge per trade if the future resembles the sample; and maximum drawdown in R, with the longest losing streak beside it. Then read them together, because each alone lies. A 38 percent win rate sounds dreadful and is perfectly fine at 2R average winners. A positive expectancy of 0.15R sounds thin and is meaningful across 300 trades. An 18R drawdown sounds survivable until you translate it: at 1 percent risk per trade that's roughly a sixth of an account gone, mid-slump, while every instinct screams that the system is broken. Ask the only question that matters: would you, personally, keep executing through that? If the

honest answer is no, the system fails — not on maths, on fit — and a smaller position size or a different method is the correction, not more willpower.

Now the traps. Curve-fitting: if you test 20/50, find it mediocre, then try 18/48 and 21/55 until something shines, you haven't found an edge — you've found the settings that best memorised one stretch of history, and history doesn't repeat its exact wiggles. Explore parameters if you must, but demand the winner also performs on a period it never saw (test on 2022–2023, verify on 2024 untouched), and prefer settings whose neighbours also do tolerably — a system that only works at exactly 19/47 is a coincidence with a spreadsheet. Survivorship of attention: log the trades you'd rather forget; a backtest missing its embarrassments is a brochure. And the demo bridge: after a passing backtest, trade the rules forward on demo or minimal size for a fixed window — thirty trades, say — because forward testing is where you discover the gap between the rules and the person executing them. That gap, not the rules, is usually the system's weakest component. The backtest tests the method; the forward test tests you.

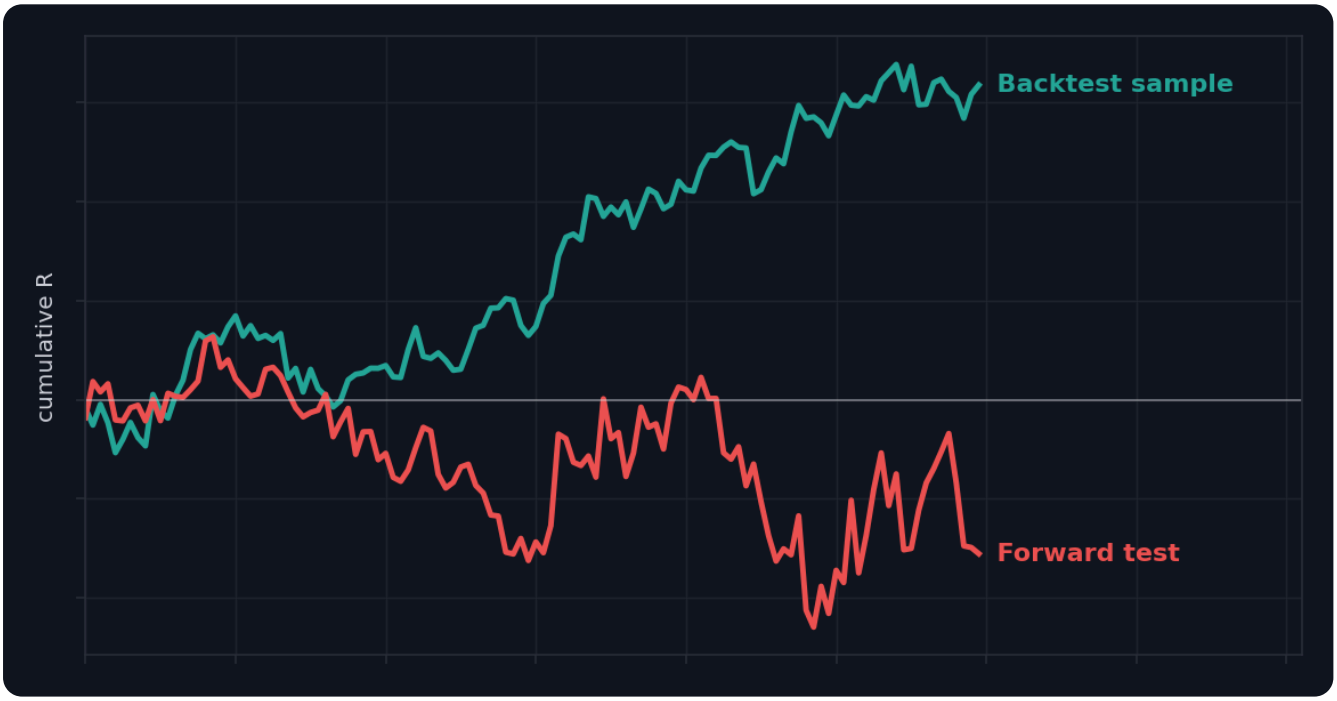


Figure. Illustrative equity curves from a backtest and a subsequent forward test of the same rules. Some degradation is normal — costs, execution slippage and plain luck — but a forward curve that bears no resemblance to the backtest is a verdict, and it usually convicts either curve-fitting or the trader's discipline.

The quiet payoff

Traders think backtesting's product is a verdict on the system. The bigger product is a verdict on you, plus something subtler: entitlement to your own confidence. When the live losing streak arrives — it will — the trader who has watched a hundred historical trades knows that six losses in a row sits well inside the tested distribution, and executes trade seven correctly. The trader running on borrowed belief abandons the method at the exact moment its statistics were about to turn. Same rules, different owners, different outcomes. The test is the difference.

CHAPTER 9 IN ONE SENTENCE:

Write your moving-average rules so precisely a stranger could execute them, test them across a hundred-plus trades and multiple market regimes without hindsight or curve-fitting, and judge the results — expectancy, drawdown and your own tolerance for the losing streaks — before a single pound of real risk goes on.

The One-Page Version

1. A moving average is a lagging average of recent closes — it measures where consensus has been, never where price is going, and the lag is the smoothing you're paying for.
2. EMA reacts faster with more false alarms; SMA is smoother and slower. Period matters more than formula — pick a small set (20/50 EMA tactical, 200 SMA structural) and freeze it.
3. Golden and death crosses are late certificates that a trend already exists. Use them to label the regime and filter your trade direction, never as entry triggers.
4. In an established trend, the 20/50 EMA area acts as a moving zone of support or resistance. Trade it as a zone with a confirming candle — never as a magic line, and never when the averages are flat.
5. The EMA pullback method in full: qualify the trend, wait for price to enter the 20–50 zone, demand a closed trigger candle, stop beyond the zone, take at least 1.5R, and void everything on a decisive close through the 50.
6. A trend filter — only trade in the direction of the 200 SMA or its slope — improves many strategies by deleting the counter-trend trades that cause the deepest losing streaks. Verify with your own with-and-without test.
7. Align timeframes: the higher timeframe's moving average sets permitted direction, your trading timeframe hosts the setup. When they disagree, stand aside rather than guess which one is lying.
8. Sideways markets are the killer. Flat averages, braided 20/50, no structure, repeated stop-outs — any of these is your cue to stop trading the system on that pair until a trend re-qualifies.
9. Some whipsaw losses are the permanent fee for trend-following. Expect frequent small losses and occasional large wins, and size positions so the losing clusters are survivable — financially and emotionally.
10. Nothing in this book is true for you until you've backtested it: written rules, a hundred-plus trades, costs deducted, choppy periods included, expectancy and drawdown computed, then a forward test to measure the gap between the rules and you.

Test Yourself — 15 Questions

1. What does a 20-period simple moving average actually calculate? A) The forecast price 20 periods ahead B) The arithmetic mean of the last 20 closing prices C) The midpoint between the 20-period high and low D) The most frequently traded price of the last 20 periods

2. Why is lag described in this course as a feature rather than a flaw? A) Because lag makes signals arrive before the move begins B) Because lag is the smoothing that filters candle-to-candle noise into a readable consensus C) Because lagging indicators are more accurate than leading ones D) Because lag only occurs in ranging markets

3. Compared with an SMA of the same period, an EMA will typically: A) Turn earlier and produce more false signals in chop B) Turn later and produce fewer false signals in chop C) Behave identically in all conditions D) Only work on daily charts

4. Which statement about the SMA-versus-EMA debate reflects this course's position? A) The EMA is objectively superior and should always be used B) The SMA is objectively superior and should always be used C) The choice of period matters more than the choice of formula, so pick tools for the job and freeze your settings D) Traders should switch between them depending on which looks better that week

5. A golden cross occurs when: A) Price crosses above the 200-day average B) The 200-day average crosses above the 50-day average C) The 50-day average crosses above the 200-day average D) Two EMAs of any length cross on any timeframe

6. Why do 50/200 crossover signals always arrive late? A) Platforms delay the calculation B) By construction, the averages can only cross after price has already trended for a considerable time C) They only print at the close of the month D) They don't — they lead price by several weeks

7. According to this course, the grown-up use of the golden/death cross is: A) An entry trigger to be traded the moment it prints B) A regime label that filters which direction of trade you'll consider C) A guaranteed reversal signal D) A tool that works best on the 5-minute chart

8. Why might price repeatedly find support near a rising 20 EMA in a trend? A) The line exerts a physical force on price B) A pullback to the average returns price to recent value, where buyers re-engage — helped by crowd attention and flattered by selection bias C) Brokers defend the level D) It doesn't — bounces off averages are entirely random

9. In the EMA pullback method, what happens if price closes decisively beyond the 50 EMA during the pullback? A) The setup improves because the entry price is better B) The

trader enters immediately with a wider stop C) The setup is void and the trend must re-qualify from scratch D) The trader switches to a shorter EMA

10. The pullback method demands a trigger candle inside the zone because: A) It guarantees the trade will win B) It provides visible evidence that the pullback is ending, rather than relying on the average alone C) Regulators require confirmation candles D) It improves the risk-reward ratio to exactly 3R

11. A well-chosen trend filter typically improves a strategy by: A) Increasing the number of trades taken B) Predicting reversals earlier C) Deleting counter-trend trades, which reduces the deepest losing streaks and smooths the equity curve D) Doubling the average winner

12. In a three-timeframe alignment structure, the highest timeframe's job is to: A) Provide precise entry prices B) Set the permitted trade direction — it is consulted, not traded from C) Generate trigger candles D) Replace the need for a stop-loss

13. Which combination of symptoms most strongly signals a ranging market? A) Rising 50 EMA and higher highs B) Flat averages, a braided 20/50, no directional structure, and repeated stop-outs from trend setups C) A golden cross on the daily chart D) Price holding above a rising 200 SMA

14. Why should a backtest of a trend-following MA system deliberately include a known choppy period? A) Choppy periods produce the biggest winners B) To measure the size of the inevitable whipsaw drawdown you'll need to survive C) Because trends never appear in backtests D) To prove the system never loses

15. After testing 20/50, a trader tries 18/48, 19/47 and 21/55 and picks whichever scored best on the same data. This is: A) Sound optimisation practice, ready for live trading B) Curve-fitting — the settings memorised one stretch of history and must be verified on unseen data C) Forward testing D) Multi-timeframe analysis

Answer Key

1. **B** — An SMA is a rolling arithmetic mean of the last N closes; no forecast, no model.
2. **B** — The lag is the smoothing: it converts noisy candles into a slow consensus, at the cost of arriving late.
3. **A** — Heavier weighting of recent closes makes the EMA more responsive, which buys earlier turns and pays for them with more whipsaws.
4. **C** — Period dwarfs formula; the course's advice is EMA for tactical work, SMA for structural reads, then stop tinkering.
5. **C** — The golden cross is specifically the 50 crossing above the 200, conventionally on the daily chart.
6. **B** — The arithmetic guarantees it: a long average can only be overtaken after a sustained move has already happened.

7. **B** — It's a regime filter that grants or withholds the benefit of the doubt; entries come from more precise tools.
8. **B** — Value, crowd attention and a dose of selection bias — mundane forces, no magic.
9. **C** — The decisive close through the 50 is the method's veto; the setup is void, not merely worse.
10. **B** — The average proposes, the candles dispose; the trigger is the evidence that buyers actually appeared.
11. **C** — Filters rarely add winners; they remove the counter-trend losers that create the ugliest drawdown clusters.
12. **B** — Highest timeframe sets direction, middle hosts setups, lowest optionally refines timing.
13. **B** — Flat slope, braiding, absent structure and repeated failures are the four tells of chop from Chapter 8.
14. **B** — Chapter 8 promises the system loses in chop; the backtest exists to show you the bill in advance.
15. **B** — Picking the best score on the same data is memorising the past; only performance on unseen data counts as evidence.

Appendix — The Glossary, in Plain English

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Playbook 4 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
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